

Banking Regulation & Policy Department
Bangladesh Bank
Head Office
Dhaka-1000

BRPD Circular Letter No.-01

January 22, 2012
Date: -----
Magh 09, 1418

Chief Executives
All Scheduled Banks in Bangladesh.

Dear Sir,

Rationalization of Rate of Interest on Deposit and Lending.

Cap on rate of interest on lending in all sectors other than pre-shipment export credit and agricultural loans has recently been withdrawn vide BRPD Circular No.-02 dated January 04, 2012. Complaints from business community are being made that banks are not exercising their freedom while fixing rate of interest on lending in justified and rational manner. In this regard banks are advised to limit the difference between lending rate and weighted average rate of interest on deposit or intermediation spread within lower single digit in different sectors other than high risk consumer credit (including credit card) and SME loans.

This instruction shall come into force with immediate effect.

Please acknowledge receipt.

Yours sincerely,

sd/-

(K.M. Abdul Wadood)
General Manager
Phone: 7117825